The Prospectus

The release of a prospectus usually marks the inception of a company. The first prospectus that I have been able to trace appeared in *Swadesamitran* in August 1906—two months before the registration of the company.[26]

The Swadeshi Steam Navigation Company Ltd was to be registered as a joint-stock company with limited liability under the Indian Companies Act, 1882. The share capital was to be Rs 5 lakh, divided into 20,000 shares of Rs 25 each. 'Swadeshis from India, Ceylon, Burma and Japan' could subscribe to the company—in a later prospectus, the company expressly prohibited non-Asians from acquiring shares in the company, much to the chagrin of Governor Lawley and other European officers. The initial call was to be one-fifth of the share price, i.e. Rs 5. Shareholders to the company were bound to use the company's ships on pain of penalty. The primary objective of the company was to facilitate trade between Tuticorin and Colombo. In the company's assessment, the trade between the two ports was lucrative and would fetch huge profits. The company intended to purchase steamers on its own for running the service.

In this first document, twelve directors were listed, all of them described as Tuticorin merchants: Haji Fakir Mohammed Sait, S.V. Nallaperumal Pillai, A.M.M. Arunachalam Pillai, S.S.V. Krishna Pillai, S.T.A. Arumugam Pillai, A.S.V. Velayudham Pillai, V.A.A. Adinarayana Chettiar, V.A.V.S. Venkatachalam Chettiar, S.K.M. Mohideen Kadirsha Marakayar, Anthony Savarimuthu Rodriguez, M.V. Maya Nadar and M.H.A. Rahiman Sait. Any shareholder subscribing to at least 100 shares would be eligible to become a director, and there was a provision to have as many as thirty-five directors on the board. Honorary secretaries were Messrs Haji Fakir Mohammed Sait and Sons; K.R. Guruswami Aiyar, a moderate Congress personality and high court vakil from Tirunelveli, and M. Krishnan Nair, a high court vakil (later Dewan of Travancore) from Calicut. Paul Peter Pillai, barrister from Madurai and lastly VOC himself were the honorary legal counsel.[27] This is the first occurrence of VOC's name in a company document. As we shall